

Tenaga Nasional Berhad ("TNB" or "Issuer")

An Islamic medium term notes programme of up to RM10.0 billion in nominal value based on the Shariah principle of Wakalah Bi Al-Istithmar ("Sukuk Wakalah Programme") for issuance of Islamic medium term notes ("Sukuk Wakalah") by Tenaga Nasional Berhad ("TNB" or the "Issuer").

Principal Terms and Conditions (Draft)

(A) CORPORATE INFORMATION OF ISSUER

- (1) Name : Tenaga Nasional Berhad ("TNB" or "Issuer")
- (2) Address : Registered Address:
Pejabat Setiausaha Syarikat,
Tenaga Nasional Berhad, Tingkat 16, Tower A,
TNB Platinum, No. 3, Jalan Bukit Pantai, Bangsar
59100 Kuala Lumpur, Malaysia
- Business Address:
Tenaga Nasional Berhad
TNB Platinum,
No. 3, Jalan Bukit Pantai Bangsar,
59100 Kuala Lumpur, Malaysia
- (3) Date of incorporation: 12 July 1990
- (4) Place of incorporation : Malaysia
- (5) Business/Company : 200866-W
Registration Number
(Old)
- (6) Business/Company : 199001009294
Registration Number
(New)
- (7) Residence status : Resident Controlled Company
- (8) Place of listing : Bursa Malaysia
- (9) Date of listing : 28 May 1992
- (10) Principal activities of :

An Islamic medium term notes programme of up to RM10.0 billion in nominal value based on the Shariah principle of Wakalah Bi Al-Istithmar ("Sukuk Wakalah Programme") for issuance of Islamic medium term notes ("Sukuk Wakalah") by Tenaga Nasional Berhad ("TNB" or the "Issuer").

Issuer	Generation, transmission, distribution and sales of electricity
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(11) Issued and paid-up : As at 12 March 2026, the total issued and paid-up capital of the Issuer is
share capital RM12,810,142,017.96 comprising 5,829,142,171 ordinary shares and 1 special
rights redeemable preference share^.

[^] The special rights redeemable preference share is held by the Minister of Finance Incorporated.

(12) Structure of : As at 12 March 2026, the substantial shareholders of the Issuer are as follows:

Name	No. of Ordinary Shares	No. of Ordinary Shares
	Direct	Indirect
Employees Provided Fund Board*	1,352,929,345	-
Khazanah Nasional Berhad**	921,906,504	110,166,794
Kumpulan Wang Persaraan (Diperdabankan)***	404,359,008	40,543,500
Amanah Saham Bumiputera****	339,688,100	-

*		Registered with Citigroup Nominees (Tempatan Sdn Bhd)
**	Direkt	Registered with CIMB Securities Sdn. Bhd - 912,147,224 Registered with Citigroup Nominees (Tempatan) Sdn Bhd - 4,911,590 Registered with CGS-CIMB Nominees (Tempatan) Sdn Bhd AN For CGS-CIMB Securities Sdn Bhd (SBL-KNB) - 4,847,690
**	Indir	Registered with Citigroup Nominees (Asing) Sdn Bhd – 47,889,169 Registered with HSBC Nominees (Asing) Sdn Bhd - 36,292,725 Registered with Maybank Securities Nominees (Tempatan) Sdn Bhd - 25,984,900
** *	Indir ect	Registered with CitiGroup Nominees (Tempatan) Sdn Bhd - 40,543,500
** **		Registered with AmanahRaya Trustees Berhad

(13) Board of directors :

No.	Name
1	Tan Sri Abdul Razak bin Abdul Majid

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2	Ong Ai Lin
3	Gopala Krishnan K. Sundaram
4	Juniwati Rahmat Hussin
5	Dato' Merina binti Abu Tahir
6	Dato' Zulkifli bin Ibrahim
7	Alan Hamzah Sendut
8	Datuk Ir. Ts Shamsul bin Ahmad
9	Datuk Ramzi bin Mansor
10	Rohaya binti Mohammad Yusof
11	Muazzam bin Mohamad

Additional Notes:

The board of directors of the Issuer are as at 1 March 2026.

(14) Disclosure of the :
following

- (i) If the Issuer or : None.
its board
members have
been convicted
or charged with
any offence
under any
securities laws,
corporation
laws or other
laws involving
fraud or
dishonesty in a
court of law, or
if any action
has been
initiated against

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the Issuer or its
board members
for breaches of
the same, for
the past ten
years prior to
the lodgement/
since
incorporation
(for Issuer
incorporated
less than ten
years)

- (ii) If the Issuer has: None.
been subjected
to any action by
the stock
exchange for
any breach of
the listing
requirements or
rules issued by
the stock
exchange, for
the past five
years prior to
the lodgement

(B) PARTIES TO THE TRANSACTION

(a) Origination

No.	Roles	Name of parties
1	Issuer	Tenaga Nasional Berhad ("Issuer" or "TNB")
2	Principal Adviser	CIMB Investment Bank Berhad
3	Principal Adviser	Maybank Investment Bank Berhad
4	Lead Arranger	CIMB and Maybank IB

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5	Solicitors	Christopher & Lee Ong ("CLO") as the solicitor for the Joint Principal Advisers and the Joint Lead Arrangers
6	Solicitors	Zaid Ibrahim & Co ("ZICO") as the solicitor for the Issuer
7	Shariah Adviser	CIMB Islamic Bank Berhad ("CIMB Islamic") and Maybank Islamic Berhad ("Maybank Islamic") (collectively, "Joint Shariah Advisers")
8	Sukuk Trustee	AmanahRaya Trustees Berhad ("Sukuk Trustee")
9	Facility Agent	Maybank IB
10	Credit Rating Agency	RAM Rating Services Berhad ("Credit Rating Agency")
11	Other-Sustainability Framework Adviser	Maybank IB
12	Other-Independent External Reviewer	Sustainalytics UK Limited and/or other Independent External Reviewer to be appointed

(b) At the point of distribution

No.	Roles	Name of parties
1	Issuer	TNB
2	Lead Manager	CIMB and Maybank IB (as joint lead managers for the first issuance under the Sukuk Wakalah Programme), and/or any lead managers to be appointed from time to time either generally in respect of the Sukuk Wakalah Programme or in relation to a particular series of Sukuk Wakalah (collectively, the "Joint Lead Managers")
3	Facility Agent	Maybank IB

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4	Shariah Adviser	CIMB Islamic and Maybank Islamic
5	Central Depository	Bank Negara Malaysia ("BNM")
6	Paying Agent	BNM

(c) After distribution

No.	Roles	Name of parties
1	Issuer	TNB
2	Other-Responsible Party to submit post-issuance notices and redemption notices	CIMB and Maybank IB (for the first issuance under the Sukuk Wakalah Programme) and/or such other financial institution to be identified from time to time
3	Shariah Adviser	CIMB Islamic and Maybank Islamic
4	Facility Agent	Maybank IB
5	Sukuk Trustee	AmanahRaya Trustees Berhad
6	Central Depository	BNM
7	Paying Agent	BNM
8	Credit Rating Agency	RAM Rating Services Berhad

(C) DETAILS OF FACILITY/PROGRAMME

- (1) Name of facility : An Islamic medium term notes programme of up to RM10.0 billion in nominal value based on the Shariah principle of Wakalah Bi Al-Istithmar ("Sukuk Wakalah Programme") for issuance of Islamic medium term notes ("Sukuk Wakalah") by Tenaga Nasional Berhad ("TNB" or the "Issuer").

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- (2) One-time issue or programme : Programme
- (3) Type of issuance(s) under this facility :
Sukuk
ASEAN Sukuk
SRI Sukuk
SRI-Linked Sukuk
ASEAN Sustainability-Linked Sukuk
- (4) ASEAN Sukuk :
ASEAN Green Sukuk
ASEAN Social Sukuk
ASEAN Sustainability Sukuk
- (5) Eligible SRI Projects :
Green Projects
Social Projects
Projects which are a combination of Green and Social projects
- (6) Shariah principles (for sukuk) :
1. Wakalah bi al-Istithmar
2. Murabahah (via Tawarruq arrangement)
- (7) Facility description (for ringgit-denominated sukuk, to provide description as cleared by the SC) :
The issuance of the Sukuk Wakalah from time to time under the Sukuk Wakalah Programme shall be effected as follows:

(1) Pursuant to a Wakalah agreement entered into between the Sukuk Trustee (acting on behalf of the investors ("**Sukukholders**")) and TNB ("**Wakalah Agreement**"), the Sukuk Trustee (acting on behalf of the Sukukholders) shall appoint TNB to act as its agent ("**Wakeel**") to perform services which will include investing the Sukuk Proceeds (as defined below) in the Wakalah Investments (as defined below).

The Issuer shall, from time to time, issue Sukuk Wakalah and the Sukukholders shall subscribe to the Sukuk Wakalah by paying the issue proceeds ("**Sukuk Proceeds**").

(2) TNB in its capacity as the Wakeel, shall declare a trust over the Trust Assets (as defined under the section entitled "*Other Terms and Conditions – Definitions*") for the benefit of the Sukukholders. The Sukuk Wakalah shall represent the Sukukholders' undivided and proportionate beneficial interest in the Trust Assets.

The Wakeel shall invest the Sukuk Proceeds received from the Sukukholders into the relevant investment portfolio which shall comprise of:

(a) a portion of TNB's Shariah-compliant general business ("**Shariah-compliant Business**") which involves the generation, transmission, distribution and sales of electricity and shall represent the Sukukholders' interest in the Shariah-compliant Business; and

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(b) Commodities (as defined below) purchased and sold to TNB as the purchaser ("**Purchaser**") under the Shariah principle of Murabahah (via Tawarruq arrangement) ("**Commodity Murabahah Investment**").

The investments described in (a) and (b) above shall collectively be referred to as the "**Wakalah Investments**".

"**Commodities**" means Shariah-compliant commodities which may include but are not limited to crude palm oil or such other acceptable commodities (excluding ribawi items in the category of medium of exchange such as currency, gold and silver) which are provided through the commodity trading platform, Bursa Suq Al-Sila' or such other independent commodity trading platforms as approved by the Joint Shariah Advisers of the Sukuk Wakalah Programme which will be identified at or around the time of each issuance of the Sukuk Wakalah.

Shariah-Compliant Business

Pursuant to an investment agreement ("**Investment Agreement**") entered into between the Wakeel and TNB as the investment manager ("**Investment Manager**"), the Wakeel shall invest at least 33% of the Sukuk Proceeds into the Shariah-compliant Business, subject to the valuation principles set out in the Wakalah Agreement. The Shariah-compliant Business shall be managed by the Investment Manager. For the avoidance of doubt, the above percentage of at least 33% is only applicable at the point of initial investment for each Tranche of the respective Sukuk Wakalah and does not need to be maintained throughout the tenure of the Sukuk Wakalah. However, the Wakeel shall ensure that the Shariah-compliant Business shall at all times be a component of the Wakalah Investments.

The Sukukholders shall via the Trust Deed provide their upfront consent to the Issuer to create future trusts over the Shariah-compliant Business ("**Future Trusts**") to facilitate any transactions undertaken in connection with any proposed Islamic financing facilities to be obtained by the Issuer, so long as the interest in the Future Trusts does not overlap with the interest of the Sukukholders in the Shariah-compliant Business under the Wakalah Investments.

The ownership of the Shariah-compliant Business allocated for the Wakalah Investments for any Sukuk Wakalah issued under the Sukuk Wakalah Programme shall be based on mal musha` (pro rata) basis which refers to joint ownership of the Shariah-compliant Business on an undivided and proportionate basis. Thus, entitling the Sukukholders to the share of income in the Shariah-compliant Business based on their proportionate ownership.

Commodity Murabahah Investment

The remaining balance of the Sukuk Proceeds shall be invested into the Commodity Murabahah Investment.

(3) The Commodity Murabahah Investment shall be effected as follows:

(a) Pursuant to the commodity Murabahah investment agreement entered into between TNB as the Purchaser, the Wakeel and the Sukuk Trustee ("**Commodity Murabahah Investment Agreement**"), the Purchaser shall issue a purchase order

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("Purchase Order") to the Wakeel and the Sukuk Trustee (both acting on behalf of the Sukukholders) with an irrevocable and unconditional undertaking to purchase the Commodities from the Sukukholders at the Deferred Sale Price (as defined below).

(b) Pursuant to the Purchase Order, the Wakeel (on behalf of the Sukukholders) (via the Facility Agent as the purchase agent ("**Purchase Agent**")) shall appoint a commodity trading participant ("**CTP**") for purchase of Commodities on spot basis from the commodity supplier(s) at Bursa Suq Al-Sila' or such other independent commodity trading platforms acceptable to the Joint Shariah Advisers ("**Commodity Supplier**") at a purchase price equivalent to the remaining balance of the Sukuk Proceeds after investment into the Shariah-compliant Business ("**Commodity Purchase Price**"). The Commodity Purchase Price shall be determined prior to the issuance of the Sukuk Wakalah and shall comply with the asset pricing requirements stipulated under the ICMPs Guidelines.

(c) Upon acquiring the Commodities, the Purchase Agent on behalf of the Wakeel (for the benefit of the Sukukholders) will thereafter sell those Commodities to the Purchaser for a price equivalent to the Commodity Purchase Price plus the disclosed profit margin and shall be payable on deferred payment basis ("**Deferred Sale Price**"), as further described in the section entitled "*Other Terms and Conditions – Purchase and selling price or rental, where applicable – compliance with asset pricing requirements*".

(d) Upon the purchase of the Commodities under 3(c) above, the Purchaser (via the Facility Agent as its sale agent ("**Sale Agent**")) shall appoint the CTP, who will immediately sell the Commodities to Bursa Malaysia Islamic Services Sdn Bhd or such other independent commodity trading platforms acceptable to the Joint Shariah Advisers ("**Commodity Buyer**") on spot basis for an amount equal to the Commodity Purchase Price.

(4) In respect of Sukuk Wakalah issued with periodic distributions ("**Periodic Distributions**"), returns generated from the Wakalah Investments up to the Expected Periodic Distribution Amount (as defined under section entitled "*Other Terms and Conditions – Profit / coupon / rental rate (fixed or floating)*") shall be distributed periodically in the form of Periodic Distributions on each Periodic Distribution Date.

In respect of Sukuk Wakalah without Periodic Distributions, returns generated from the Wakalah Investments up to the expected one-off distribution amount which shall be equal to the difference between the nominal value of the relevant Sukuk Wakalah and the Sukuk Proceeds of the relevant Sukuk Wakalah shall be distributed on a one-off basis upon the maturity date ("**Scheduled Dissolution Date**") or upon the declaration that a Dissolution Event (as defined under section entitled "*Events of default or enforcement events, where applicable, including recourse available to investors*") has occurred ("**Dissolution Declaration Date**") or upon early redemption, whichever is the earliest.

On (i) each Periodic Distribution Date (as defined under section entitled "*Other*

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Terms and Conditions – Profit / coupon / rental payment frequency"); (ii) the Scheduled Dissolution Date; (iii) the Dissolution Declaration Date; or (iv) the early redemption date(s), as the case may be, any returns from the Wakalah Investments in excess of the Expected Periodic Distribution Amount distributable or the expected one-off distribution amount (as the case may be) under the relevant Tranche of Sukuk Wakalah shall be waived by the Sukukholders and retained by TNB as an incentive fee for its services as the Wakeel in managing the Wakalah Investments.

(5) (a) TNB (as the obligor ("**Obligor**") shall grant a purchase undertaking ("**Purchase Undertaking**") to the Sukuk Trustee (for the benefit of the Sukukholders), whereby on a Scheduled Dissolution Date or the Dissolution Declaration Date whichever is the earlier, the Obligor undertakes to purchase the Sukukholders' undivided and proportionate beneficial interest in the Shariah-compliant Business at the relevant Exercise Price (as defined below) and enter into a sale agreement ("**Sale Agreement**") with the Sukuk Trustee for such purchase.

(b) The Sukuk Trustee (on behalf of the Sukukholders) shall issue a sale undertaking ("**Sale Undertaking**") in favour of the Issuer, under which the Sukuk Trustee undertakes to sell the Sukukholders undivided and proportionate beneficial interest in the Shariah-compliant Business to the Issuer upon an early redemption at the relevant Exercise Price and enter into a Sale Agreement with the Issuer for such sale.

The "**Exercise Price**" for the purchase of the Shariah-compliant Business shall be at the market value or fair value of the Shariah-compliant Business determined based on the valuation principles set out in the Wakalah Agreement, at the relevant Scheduled Dissolution Date(s) or the Dissolution Declaration Date or the early redemption date(s), as the case may be. For the fair value of the Shariah-compliant Business, it shall be valued based on the net tangible assets of TNB as reflected in the latest available audited accounts of TNB at the relevant Scheduled Dissolution Date(s) or the Dissolution Declaration Date or the early redemption date(s), as the case may be or such other valuation principles to be agreed by the Issuer and the Joint Shariah Advisers.

(6) Proceeds of the Wakalah Investments being the Exercise Price, the Deferred Sale Price (subject to any *Ibra'* if applicable) and any returns generated from the Wakalah Investments shall be utilised to redeem the Sukuk Wakalah at the relevant Dissolution Distribution Amount (as defined under the section entitled "*Other Terms and Conditions – Definitions*"). Any excess above the relevant Dissolution Distribution Amount shall be waived by the Sukukholders and be retained by the Wakeel as incentive fee. Upon full payment of all amounts due and payable under the Sukuk Wakalah, the relevant trust in respect of the Trust Assets will be dissolved and the relevant Sukuk Wakalah held by the Sukukholders will be cancelled.

Sustainability Sukuk Wakalah and/or Sustainability-Linked Sukuk Wakalah

Subject to the Issuer's fulfilment of the conditions precedent relating to the first issuance of the Sustainability-Linked Sukuk Wakalah (as defined below), the Sukuk Wakalah Programme will also provide the Issuer the flexibility to issue Sukuk Wakalah from time to time which complies with any one or more of the

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Sustainability Guidelines/Frameworks (as defined below) or the Sustainability-Linked Guidelines/Frameworks (as defined below) as amended, revised and/or substituted from time to time.

Any Sukuk Wakalah issued under any one or more of the Sustainability Guidelines/Frameworks shall be referred to as "**Sustainability Sukuk Wakalah**" and any Sukuk Wakalah issued under any one or more of the Sustainability-Linked Guidelines/Frameworks shall be referred to as "**Sustainability-Linked Sukuk Wakalah**". For the avoidance of doubt, references to "**Sukuk Wakalah**" shall include Sustainability Sukuk Wakalah and/or Sustainability-Linked Sukuk Wakalah unless otherwise specified.

The relevant Sustainability Guidelines/Frameworks or Sustainability-Linked Guidelines/Frameworks under which such Sustainability Sukuk Wakalah or Sustainability-Linked Sukuk Wakalah are issued and the naming of such Sustainability Sukuk Wakalah or Sustainability-Linked Sukuk Wakalah shall be specified in the relevant pricing supplement and/or the documents in relation to the issuance of such Sustainability Sukuk Wakalah or Sustainability-Linked Sukuk Wakalah ("**Sustainable Sukuk Wakalah Issuance Documents**").

Each Tranche of the Sustainability-Linked Sukuk Wakalah will be linked to certain key performance indicator(s) ("**KPIs**") and/or sustainability performance target(s) ("**SPTs**") as may be incorporated in the TNB Transition Finance Framework (as defined below) and/or the Sustainable Sukuk Wakalah Issuance Documents.

The nominal value and/or periodic distribution rate for such Sustainability-Linked Sukuk Wakalah may be adjusted based on the Issuer's achievement of, or failure to achieve, certain KPIs and/or SPTs (each defined as "**Nominal Value Adjustment**" and "**Periodic Distribution Rate Adjustment**" respectively). The relevant KPIs and/or SPTs and the measurement dates for each Tranche of the Sustainability-Linked Sukuk Wakalah shall be determined by the Issuer prior to the issuance of such Sustainability-Linked Sukuk Wakalah and specified in the relevant Sustainable Sukuk Wakalah Issuance Documents (where applicable).

If required, the terms and conditions of the Sukuk Wakalah Programme and the Transaction Documents (as defined under section entitled "*Other Terms and Conditions – Transaction Documents*") shall be amended to cater for issuances of Sustainability-Linked Sukuk Wakalah, which will be a separate Tranche under the Sukuk Wakalah Programme. The Sukukholders (as defined under section entitled "*Facility description (for ringgit-denominated sukuk, to provide description as cleared by the SC)*"), shall via the trust deed of the Sukuk Wakalah Programme ("**Trust Deed**"), provide their upfront consent for such amendment provided that the Issuer complies with the relevant requirements under the Securities Commission Malaysia's ("**SC**") Guidelines on Unlisted Capital Market Products under the Lodge and Launch Framework issued on 9 March 2015, as amended from time to time ("**LOLA Guidelines**") and the SC's Guidelines on Islamic Capital Market Products and Services issued on 28 November 2022, as amended from time to time ("**ICMPS Guidelines**"). No further consent or approval will be required from the Sukukholders, the Sukuk Trustee, the Facility Agent or any other party under the Sukuk Wakalah Programme with regards to such amendment, as long

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as the proposed amendments only relate to the incorporation of the relevant terms and conditions to cater for issuances of Sustainability-Linked Sukuk Wakalah.

For the avoidance of doubt, save for (i) the amendment to cater for issuances of Sustainability-Linked Sukuk Wakalah and (ii) the Issuer's option to upsize the limit of the Sukuk Wakalah Programme (as set out below), the Issuer shall obtain all necessary consents and/or approvals for any amendment to the terms and conditions of the Sukuk Wakalah Programme in accordance with the Transaction Documents and the relevant requirements under the LOLA Guidelines and the ICMPS Guidelines.

"Sustainability Guidelines/Frameworks" means any one or more of the following guidelines, standards, frameworks or principles, as amended from time to time:

- (i) the Sustainable and Responsible Investment ("**SRI**") Sukuk provisions under the LOLA Guidelines;
- (ii) the ASEAN Green Bond Standards issued by the ASEAN Capital Markets Forum ("**ACMF**");
- (iii) the ASEAN Social Bond Standards issued by the ACMF;
- (iv) the ASEAN Sustainability Bond Standards issued by the ACMF;
- (v) the Green Bond Principles issued by the International Capital Market Association ("**ICMA**");
- (vi) the Social Bond Principles issued by the ICMA;
- (vii) the Sustainability Bond Guidelines issued by the ICMA; and/or
- (viii) such other related guidelines, principles, frameworks or standards in relation to green/social/sustainability bonds/ Sukuk or SRI Sukuk issued from time to time or as may be incorporated by the SC into the LOLA Guidelines from time to time, or such other guidelines, principles frameworks, or standards, whether or not having the force of law, in relation to green/social/sustainability bonds/Sukuk or SRI Sukuk as may be issued from time to time.

"Sustainability-Linked Guidelines/Frameworks" means any one or more of the following guidelines, standards, frameworks or principles, as amended from time to time:

- (i) the Sustainable and Responsible Investment linked ("**SRI-Linked**") Sukuk provisions under the LOLA Guidelines;
- (ii) the ASEAN Sustainability-Linked Bond Standards issued by the ACMF;
- (iii) the Sustainability-Linked Bond Principles issued by the ICMA; and/or
- (iv) such other related guidelines, principles, frameworks or standards in relation to sustainability-linked bonds/ Sukuk or SRI-Linked Sukuk issued from time to time or as may be incorporated by the SC into the LOLA Guidelines from time to time or such other guidelines, principles, frameworks or standards, whether or not having the force of law, in relation to sustainability-linked bonds/Sukuk or SRI-Linked

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Sukuk as may be issued from time to time.

"TNB Transition Finance Framework" shall mean the framework established by the Issuer on 24 September 2024 in relation to the issuance of Sustainability Sukuk Wakalah and/or Sustainability-Linked Sukuk Wakalah under the Sukuk Wakalah Programme, as may be amended or updated from time to time.

"Tranche" means in relation to any Sukuk Wakalah, such Sukuk Wakalah that has the same issue date and the same Scheduled Dissolution Date.

(8) Currency : Ringgit

(9) Expected facility/
programme size : Up to MYR 10,000,000,000.00

(10) Option to upsize (for :
programme) Yes

Additional Notes:

The Issuer shall have the option to upsize the Sukuk Wakalah Programme and for the avoidance of doubt, the Sukukholders shall via the Trust Deed provide their upfront consent for any upsizing of the Sukuk Wakalah Programme subject to the following:

(i) the proposed upsizing will not result in any adverse impact on the then prevailing credit rating of the Sukuk Wakalah Programme as confirmed by the Credit Rating Agency; and

(ii) the compliance with the relevant requirements under the LOLA Guidelines in relation to the proposed upsizing.

(11) Tenure of facility/
programme : 50 year(s)

(12) Availability period of :
debt/ sukuk
programme The Sukuk Wakalah Programme shall be available commencing from the date of fulfilment of the conditions precedent to the satisfaction of the Joint Lead Arrangers (unless waived by the Joint Lead Arrangers) and ending on the expiry date of the Sukuk Wakalah Programme provided that the first issuance of Sukuk Wakalah under the Sukuk Wakalah Programme shall be made within ninety (90) business days from the date of the lodgement of the Lodgement Kit with the SC (or such other extended dates approved by the SC).

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An Islamic medium term notes programme of up to RM10.0 billion in nominal value based on the Shariah principle of Wakalah Bi Al-Istithmar ("Sukuk Wakalah Programme") for issuance of Islamic medium term notes ("Sukuk Wakalah") by Tenaga Nasional Berhad ("TNB" or the "Issuer").

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- (13) Clearing and settlement platform : BNM or its successor-in-title or successor in such capacity, in relation to the Sukuk Wakalah Programme.
- (14) Mode of issue : ☒ Private/direct placement
☒ Bought deal
☒ Book building
- (15) Selling restrictions : (i) At issuance:
- ☒ Read together with Schedule 9 of the CMSA
 - ☒ Schedule 5, Part I, 1(b) of the CMSA (consideration not less than RM250,000 or equivalent in foreign currencies for each transaction)
 - ☒ Schedule 8 of the CMSA
 - ☒ Sophisticated investors as set out in Guidelines on Categories of Sophisticated Investors [Prior to 5 February 2024, this was Part I of Schedule 6 of the Capital Markets & Services Act, 2007 (CMSA)]
 - ☒ Sophisticated investors as set out in Guidelines on Categories of Sophisticated Investors [Prior to 5 February 2024, this was Part I of Schedule 7 of the CMSA]
 - ☒ Other-The Sukuk Wakalah may only be offered, sold, transferred or otherwise disposed of, directly or indirectly, to a person to whom an offer for subscription or purchase of, or invitation to subscribe for or purchase of the Sukuk Wakalah and to whom the Sukuk Wakalah are issued would fall within: (i) Paragraph 1 (a), (b) or (d) of Part I of Schedule 5 of the Capital Markets and Services Act 2007, as amended and/or substituted from time to time ("CMSA"); and (ii) Schedule 6 and Schedule 7 of the CMSA; read together with (iii) Schedule 9 (or Section 257(3)) of the CMSA, subject to any change in the applicable laws, order, regulation or official directive from time to time. Further, as the appointed Credit Rating Agency has assigned the Sukuk Wakalah Programme a rating of AAA, whereby the issuance of, offer for subscription or purchase of, or invitation to, subscribe for the Sukuk Wakalah falls within Schedule 8 of the CMSA.
- (ii) After issuance:
- ☒ Read together with Schedule 9 of the CMSA
 - ☒ Schedule 5, Part I, 1(b) of the CMSA (consideration not less than RM250,000 or equivalent in foreign currencies for each transaction)
 - ☒ Schedule 8 of the CMSA
 - ☒ Sophisticated investors as set out in Guidelines on Categories of Sophisticated Investors [Prior to 5 February 2024, this was Part I of Schedule 6 of the CMSA]
 - ☒ Other-The Sukuk Wakalah may only be offered, sold, transferred or otherwise disposed of, directly or indirectly, to a person to whom an offer for subscription or purchase of, or invitation to subscribe for or purchase of the Sukuk Wakalah and to whom the Sukuk Wakalah are issued would fall within: (i) Paragraph 1 (a), (b) or (d) of Part I of Schedule 5 of the CMSA; and (ii) Schedule 6 (or

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Section 229(1)(b)) of the CMSA; read together with (iii) Schedule 9 (or Section 257(3)) of the CMSA, subject to any change in the applicable laws, order, regulation or official directive from time to time. Further, as the appointed Credit Rating Agency has assigned the Sukuk Wakalah Programme a rating of AAA, whereby the issuance of, offer for subscription or purchase of, or invitation to, subscribe for the Sukuk Wakalah falls within Schedule 8 of the CMSA.

- (16) Tradability and transferability : Size in Ringgit which are tradable and transferable:
MYR 10,000,000,000.00
- Size in Ringgit which are non-tradable and non-transferable:
Not applicable
- Size in Ringgit which are restricted transferability:
Not applicable
- Additional Notes:
The Sukuk Wakalah are tradable and transferable subject to the selling restrictions as provided in section entitled "*Selling Restrictions*".
- (17) Secured/combinatio : Unsecured
n of unsecured and
secured, if
applicable
- (18) Details of guarantee,: Not guaranteed
if applicable
- (19) Convertibility of : Non-convertible
issuance and details
of the convertability
- (20) Exchangeability of : Non-exchangeable
issuance and details
of the
exchangeability
- (21) Call option and : No call option
details, if applicable
- (22) Put option and : No put option
details, if applicable

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(23) Details of covenants : Positive Covenants

The Issuer covenants that so long as the Sukuk Wakalah are outstanding:

(i) the Issuer shall deliver to the Sukuk Trustee any information (financial or otherwise) which the Sukuk Trustee may reasonably require in order for the Sukuk Trustee to discharge its duties and obligations under the Trust Deed relating to the Issuer's affairs to the extent permitted by law and would not result in the Issuer breaching any stock exchange requirements, duty of confidentiality or confidentiality obligations;

(ii) the Issuer shall exercise reasonable diligence in carrying out its business and affairs and in accordance with sound financial and commercial standards and practices and its constitution;

(iii) the Issuer shall maintain in full force and effect all relevant authorisations, consents, rights, licenses, approvals, and permits (governmental and otherwise) and will promptly obtain any further authorisations, consents, rights, licenses, approvals and permits (governmental and otherwise) which is or may become necessary to enable it to own its assets, to carry on its business or to enter into or perform its obligations under the Transaction Documents or to ensure the legality, validity, enforceability, admissibility in evidence of its obligations or the priority or rights of the Sukuk Trustee/the Facility Agent or the Sukukholders under the Transaction Documents, in each case where failure to do so would have a Material Adverse Effect (as defined under the section entitled "*Other Terms and Conditions – Definitions*");

(iv) the Issuer shall maintain a paying agent in Malaysia;

(v) the Issuer shall at all times on demand by the Sukuk Trustee (acting reasonably) execute all such further documents and do all such further acts reasonably necessary at any time or times to give further effect to the terms and conditions of the Transaction Documents;

(vi) the Issuer shall prepare its financial statements on a basis consistently applied in accordance with approved accounting standards in Malaysia (unless otherwise disclosed) and those financial statements shall give a true and fair view of its results of the operations for the period to which the financial statements are made up;

(vii) the Issuer shall maintain an accounting system and records in compliance with applicable statutory requirements and in accordance with generally accepted accounting principles in Malaysia which are adequate to record and reflect its operations and financial condition and it will permit upon reasonable request by the Sukuk Trustee or its agent and servants and any person appointed or authorised by it with prior notice and at all reasonable times to have access to and to inspect its books of accounts and records relating to its business at any office, branch or place of business and all records kept by any other persons subject to such parties executing confidentiality undertakings as prescribed by the Issuer and provided further that such access and disclosure does not result in any contravention of any laws, regulations or directives by the Issuer and would not result in the Issuer breaching any stock exchange requirements, duty of confidentiality or

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confidentiality obligations;

(viii) the Issuer shall promptly comply with all applicable laws (including the provisions of the CMSA and all circulars, conditions or guidelines issued by the SC from time to time) as may be applicable to it;

(ix) in relation to Sustainability Sukuk Wakalah and/or Sustainability-Linked Sukuk Wakalah only, the Issuer shall comply at all times with TNB Transition Finance Framework and the applicable Sustainability Guidelines/Frameworks or Sustainability-Linked Guidelines/Frameworks as stated in the relevant Sustainable Sukuk Wakalah Issuance Documents, provided that any failure to comply with the foregoing shall not constitute a Dissolution Event, and the relevant Sukuk Wakalah shall cease to be designated or labelled as Sustainability Sukuk Wakalah or Sustainability-Linked Sukuk Wakalah (as the case may be); and

(x) in relation to Sustainability Sukuk Wakalah and/or Sustainability-Linked Sukuk Wakalah only, the Issuer shall comply with such other positive covenants to be mutually agreed by the Issuer and the relevant Joint Lead Managers and to be set out in the relevant Sustainable Sukuk Wakalah Issuance Documents. Any non-compliance with such other positive covenants to be mutually agreed by the Issuer and the relevant Joint Lead Managers which constitutes a Dissolution Event shall be expressly specified in the relevant Sustainable Sukuk Wakalah Issuance Documents.

Negative covenants

The Issuer covenants that, for so long as any Sukuk Wakalah is outstanding, it will:

(i) not add, delete, vary, amend or substitute its constitution in a manner inconsistent with the provisions of the Transaction Documents unless required by law or to comply with the Main Market Listing Requirements issued by Bursa Malaysia Securities Berhad (including any amendment that may be made from time to time);

(ii) not reduce its paid-up share capital (except by way of purchase, acquisition or reduction permitted under the law or redemption of redeemable preference shares) whether by varying the amount, structure, or value thereof or the rights attached thereto or by converting any of its share capital into stock, or by consolidating, dividing or sub-dividing all or any of its shares, which would have a Material Adverse Effect;

(iii) not change in a material manner the nature or scope of its business or suspend a substantial part of its business where such change or suspension would have a Material Adverse Effect;

(iv) not use the proceeds of the issuance of the Sukuk Wakalah for any purpose other than the Shariah-compliant purposes as stated in the relevant Transaction Documents and/or information memorandum in connection with the Sukuk Wakalah Programme (as amended or supplemented from time to time) ("IM");

(v) save for any Permitted Securities, not create or permit to exist any Security Interest over any of its property, assets, rights or undertaking, or all or any part of the assets;

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"Security Interest" means any mortgage, charge, pledge, debenture, lien or any other similar security interest.

"Permitted Securities" means:

- (a) liens or set-off arising in the ordinary course of business by operation of law and not by way of contract;
 - (b) any netting or set-off arrangement entered into in the ordinary course of banking arrangements for the purpose of netting debit and credit balances;
 - (c) security created in relation to documentary credits, trust receipts and bankers acceptances opened in the ordinary course of business;
 - (d) security arising under retention of title, leases, hire purchase or conditional sale arrangements in respect of any assets or goods supplied in the ordinary course of business;
 - (e) security created in respect solely of indebtedness incurred or assumed for the purpose of financing the purchase price of any acquisition of asset (including but not limited to shares), in each case, created solely over such acquired assets;
 - (f) security created in respect of liabilities which exist on any property or asset prior to its acquisition or arising after such acquisition pursuant to contractual commitments entered into prior to, but not in connection with or in contemplation of, such acquisition;
 - (g) security existing as at the date of the Transaction Documents (if any) and disclosed to the Sukuk Trustee;
 - (h) security created with the prior written consent of the Sukuk Trustee;
 - (i) corporate guarantees; and
 - (j) right of contractual set-off.
- (vi) not sell, transfer, lease (other than by way of operating lease) or otherwise dispose of or in any case, cease to exercise control over, whether by a single transaction or a number of transactions, related or not, the whole or part of the Issuer's undertaking, business or assets save and except for:
- (a) any sale or disposal of the Issuer's undertaking, business or assets which is on the basis of arm's length transaction and which will not have a Material Adverse Effect; or
 - (b) any transactions undertaken in connection with any Islamic financing facilities; or
 - (c) any sale or disposal of the Issuer's undertaking, business or assets by the Issuer to its wholly-owned subsidiaries;
- (vii) save and except for the payment of dividends to its preference shareholders, not pay any dividends or make any income distribution to its ordinary shareholders

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in the event that the nominal value or accreted value (as the case may be) and/or the Expected Periodic Distribution Amount due and payable under any of the Sukuk Wakalah remain unpaid, whether or not a Dissolution Event has been declared under the Transaction Documents; and

(viii) in relation to Sustainability Sukuk Wakalah and/or Sustainability-Linked Sukuk Wakalah only, comply with such other negative covenants to be mutually agreed by the Issuer and the relevant Joint Lead Managers and to be set out in the relevant Sustainable Sukuk Wakalah Issuance Documents. Any non-compliance with such other negative covenants to be mutually agreed by the Issuer and the relevant Joint Lead Managers which constitutes a Dissolution Event shall be expressly specified in the relevant Sustainable Sukuk Wakalah Issuance Documents.

Financial Covenants

No financial covenant

Information Covenant

The Issuer covenants that, for so long as any Sukuk Wakalah is outstanding:

(i) the Issuer shall upon becoming aware of any change in its financial condition and of any litigation or other proceedings of any nature whatsoever being initiated against the Issuer before any court or tribunal or administrative agency which would have a Material Adverse Effect, promptly notify the Sukuk Trustee of the same;

(ii) the Issuer shall upon becoming aware of the occurrence of any Dissolution Event promptly give notice to the Sukuk Trustee of the same, and it shall take all reasonable steps and/or such other steps as may reasonably be requested by the Sukuk Trustee to remedy and/or mitigate the effect of the Dissolution Event;

(iii) in relation to Sustainability Sukuk Wakalah and/or Sustainability-Linked Sukuk Wakalah only, the Issuer shall comply with such other information covenants mutually agreed by the Issuer and the relevant Joint Lead Managers and to be set out in the relevant Sustainable Sukuk Wakalah Issuance Documents. Any non-compliance with such other information covenants to be mutually agreed by the Issuer and the relevant Joint Lead Managers which constitutes a Dissolution Event shall be expressly specified in the relevant Sustainable Sukuk Wakalah Issuance Documents.; and

(iv) such other information covenants to be mutually agreed between the Joint Lead Arrangers and the Issuer.

No designated account

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(24) Details of :
designated account,
if applicable

(25) Name of credit rating:
agency, credit rating
and amount rated, if
applicable

No.	Long Term/Short Term	Rated/Unrated	Credit rating agency	Credit rating	Final/indicative rating	Name of Issuance/Tranche/Series/ Class	Amount
1	Long Term	Rated	RAM Rating Services Bhd (RAM)	AAA	Final rating	Sukuk Wakalah	MYR 10,000,000,000.00

(26) Conditions precedent : The availability of the Sukuk Wakalah Programme shall be subject to compliance of all conditions precedent (in the form and substance acceptable to the Joint Lead Arrangers) including the following:

(i) Conditions precedent for the establishment of the Sukuk Wakalah Programme

(i) the relevant Transaction Documents pertaining to the Sukuk Wakalah Programme have been executed, stamped, or endorsed as exempted from stamp duty, where applicable;

(ii) receipt of a certified true copy of the board of directors' resolution of the Issuer authorising, amongst others, the execution of the Transaction Documents, the performance and carrying out of the transactions contemplated therein and the TNB Transition Finance Framework;

(iii) receipt of a certified true copy each of the latest forms on the issued and paid up shares of the Issuer, its registered address and its directors and officers;

(iv) receipt of a list of the Issuer's authorised signatories and their respective specimen signatures for the Sukuk Wakalah Programme;

(v) confirmation from the Joint Shariah Advisers that the structure, mechanism and the Transaction Documents of the Sukuk Wakalah Programme are in compliance with Shariah has been obtained;

(vi) evidence that the Lodgement Kit has been lodged with the SC;

(vii) receipt of a copy of the approval letter by the Ministry of Finance, Malaysia pursuant to the Malaysia Loans Guarantee (Bodies Corporate) Act 1965;

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(viii) receipt of a report of the relevant company search conducted at the Companies Commission of Malaysia and winding-up search on the Issuer conducted at the office of the Director-General of Insolvency stating that the Issuer is not wound up;

(ix) evidence that the Sukuk Wakalah Programme has been assigned a final rating of AAA;

(x) receipt from the solicitors a favourable legal opinion addressed to the Joint Lead Arrangers and the Sukuk Trustee in form and substance acceptable to the Joint Lead Arrangers, advising with respect to, among others, the legality, validity and enforceability of the Transaction Documents and a confirmation addressed to the Joint Lead Arrangers that all the conditions precedent have been fulfilled or waived, if applicable; and

(xi) arrangement (acceptable to the Joint Lead Arrangers) for the payment of all relevant transaction fees, costs and expenses in relation to the Sukuk Wakalah Programme.

(ii) Conditions precedent prior to the first issuance of Sustainability-Linked Sukuk Wakalah

In relation to first issuance of Sustainability-Linked Sukuk Wakalah, compliance of all conditions precedent (in the form and substance acceptable to the relevant Joint Lead Managers) including the following:

(i) if the terms and conditions of the Sukuk Wakalah Programme and Transaction Documents is required to be amended to cater for issuances of Sustainability-Linked Sukuk Wakalah, the relevant Transaction Documents have been amended to cater for the issuances of such Sustainability-Linked Sukuk Wakalah;

(ii) establishment and/or update of the TNB Transition Finance Framework pursuant to the requirements of the relevant Sustainability-Linked Guidelines/Framework, if applicable; and

(iii) such other conditions precedent as may be mutually agreed between the Issuer and the relevant Joint Lead Managers, in consultation with the Sustainability Framework Adviser and/or the Independent External Reviewer.

(27) Representations and warranties

The Issuer hereby represents and warrants as follows:

(i) it is a company limited by shares duly incorporated and validly existing under the laws of Malaysia, has full power to carry on its business and to own its property and assets;

(ii) subject to taking all necessary actions and obtaining the consents and approvals referred to in the Transaction Documents, its constitution incorporates provisions which authorise, and all necessary corporate and other relevant accounts have been taken to authorise, and all relevant consents and approvals of any administrative governmental or other authority or body in Malaysia have been duly obtained and are in full force and effect which are required to authorise it to execute and deliver and perform the transactions contemplated in the Transaction

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Documents in accordance with their terms;

(iii) subject to any general principles of law limiting its obligations referred to in the legal opinion delivered under section entitled "*Conditions Precedent*" and upon taking all necessary actions and obtaining the consents and approvals referred to in the Transaction Documents, the Transaction Documents, are or will be when executed and/or issued, as the case may be, in full force and effect and constitute, or will when executed or issued, as the case may be, constitute its valid and legally binding obligations enforceable in accordance with the terms of such Transaction Document;

(iv) subject to any general principles of law limiting its obligations referred to in the legal opinion delivered under section entitled "*Conditions Precedent*" and upon taking all necessary actions and obtaining the consents and approvals referred to in the Transaction Documents, neither the execution and delivery of any of the Transaction Documents by the Issuer, nor the performance of any of the transactions contemplated by the Transaction Documents by the Issuer, did or does as at the date the representation and warranty is made or repeated (i) contravene or constitute a default under any provision contained in any financing agreement, instrument, law, ordinance, decree, judgement, order, rule, regulation, licence, permit or consent by which it or any its assets are bound or which is applicable to it or any of its assets, (ii) cause the powers of its directors whether imposed by or contained in its constitution or in any agreement, instrument, law, ordinance, decree, order, rule, regulation, judgment or otherwise, to be exceeded, which will have a Material Adverse Effect or which will materially and adversely affect the validity or enforceability of the Transaction Documents or the right or remedies of a party (other than the Issuer) under the Transaction Documents;

(v) subject to any general principles of law limiting its obligations referred to in the legal opinion delivered under section entitled "*Conditions Precedent*" and upon taking all necessary actions and obtaining the consents and approvals referred to in the Transaction Documents, no authorisation, approval, consent, licence, exemption, registration, recording, filing, or notarisation and no payment of any duty or tax and no other action whatsoever is necessary to ensure the legality, validity, enforceability of its liabilities and obligations or the rights of the Sukukholders under the Transaction Documents;

(vi) all consents, licenses, approvals, or authorisations of governmental authorities in Malaysia which are required for it to own its assets and carry on its business as it is being conducted have been duly obtained and complied with and are in full force and effect where failure to do so would have a Material Adverse Effect;

(vii) save as otherwise disclosed to the Sukuk Trustee in writing, if any, no litigation, arbitration or administrative proceeding or claim is current, presently in progress against it or any of its assets, which if adversely determined would have a Material Adverse Effect;

(viii) the IM does not contain any statements or information which are false or misleading, in any material respects or from which there is a material omission which makes the statements therein, in the light of the circumstances under which there are made, misleading in any material respect as at the date of the IM or such other date specified therein and all expressions of expectation, intention, belief and

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opinion contained therein were honestly made on reasonable grounds after due and careful inquiry by the Issuer based on facts existing as at the date of the IM or such other dates specified therein;

(ix) there has been no material adverse change in the financial condition of the Issuer since its last audited financial statements, which would have a Material Adverse Effect;

(x) no Dissolution Event has occurred and is continuing; and

(xi) save as otherwise disclosed, its latest audited financial statements (including the cashflow statements, income statements and balance sheet) have been prepared in accordance with approved accounting standards in Malaysia and give a true and fair view of its financial position for that year and the state of its affairs at that date, as the case may be.

The representations and warranties are given on the date of the relevant agreements and repeated on the date of the issue request and the issue date of the Sukuk Wakalah only with respect to the facts and circumstances then subsisting, as if repeated by reference to the then existing circumstances.

(28) Events of defaults or :
enforcement events,
where applicable,
including recourse
available to
investors

The dissolution events ("**Dissolution Events**") (and each a "**Dissolution Event**") shall encompass the following:

(i) the Issuer fails to pay any nominal value or Periodic Distributions under the Sukuk Wakalah or any part thereof, unless such failure to pay is remedied within five (5) business days of its due date;

(ii) the Issuer fails to observe or perform any of its obligations under any of the Transaction Documents or under any undertaking or arrangement entered into in connection therewith (other than an obligation of the type referred to in paragraph (i) above) where such failure would have a Material Adverse Effect, and in the case of a failure which in the reasonable opinion of the Sukuk Trustee is capable of being remedied, the Issuer does not remedy the failure within thirty (30) days after the Issuer has become aware or having been notified by the Sukuk Trustee in writing of the failure to comply;

(iii) any representation or warranty made or given by the Issuer under the Transaction Documents or which is contained in any certificate, document or statement furnished at any time pursuant to the terms of the Transaction Documents proves to have been incorrect or misleading in any material respects on or as of the date made or given or deemed made or given, where such event would have a Material Adverse Effect and in the case of a failure which in the reasonable opinion of the Sukuk Trustee is capable of being remedied, the Issuer does not remedy the failure within thirty (30) days after the Issuer has become aware of such misrepresentation or has been notified by the Sukuk Trustee in writing of such misrepresentation;

(iv) any financial indebtedness (other than the Sukuk Wakalah) of the Issuer

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becomes due or payable or capable of being declared due or payable prior to its stated maturity, or any guarantee or similar obligations of the Issuer for financial indebtedness is not discharged at maturity or when called; and such declaration of financial indebtedness being due or payable or such call on the guarantee or similar obligations would have a Material Adverse Effect unless within ninety (90) days:

(a) it is contested in good faith by the Issuer; or

(b) the Sukuk Trustee is furnished with evidence that the relevant creditors' agreement has been obtained not to declare such financial indebtedness as due or payable or not to call on the guarantee or similar obligations or to waive such default or not to take any further action in relation thereto.

For the purpose of this paragraph, "**financial indebtedness**" shall mean, without duplication or double counting, whether Islamic or conventional:

(1) all indebtedness for financing/borrowed money in respect of which profit/interest charges are customarily paid;

(2) all indebtedness for or in respect of any amount raised pursuant to the issue of bonds, sukuk, notes, debentures, loan stock or any similar instrument;

(3) all financial guarantees by such person of financial indebtedness of others; and

(4) all hire purchase and finance lease obligations of such person,

provided that notwithstanding the foregoing, the term "**financial indebtedness**" shall not include subordinated shareholders loans or advances or financing, redeemable preference shares, vendor financing, trade credits in the ordinary course of business or security or refundable deposits taken in the ordinary course of business;

(v) an encumbrancer takes possession of, or a trustee, receiver, receiver and manager or similar officer is appointed in respect of the whole or substantial part of the assets of the Issuer, or distress, legal process, sequestration or any form of execution is levied or enforced or sued out against such assets which would have a Material Adverse Effect and is not discharged within ninety (90) days, or any Security Interest which may for the time being affect any of such assets becomes enforceable and which would have a Material Adverse Effect;

(vi) the Issuer fails to satisfy any judgement involving material liabilities passed against it by any court of competent jurisdiction which would have a Material Adverse Effect provided that no Dissolution Event shall occur under this paragraph (vi) if:

(a) an appeal against such judgement has been made to any appropriate appellate court within the time prescribed by law; or

(b) an application is made to discharge or stay such judgment within the time prescribed by law;

(vii) other than for the purposes of and followed by a reconstruction previously

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approved in writing by the Sukuk Trustee, unless during or following such reconstruction the Issuer becomes or is declared to be insolvent, a winding-up order has been made against the Issuer or any step is taken for the winding up, dissolution or liquidation of the Issuer or a resolution is passed for the winding up of the Issuer or a petition for winding up is presented against the Issuer (unless such petition is frivolous or vexatious or related to a claim to which the Issuer has a good defence or which is being contested in good faith by the Issuer) and the Issuer has not taken any action in good faith to set aside such petition or the petition is not withdrawn or discharged within ninety (90) days from the date of service of such winding up petition or a winding up order has been made against the Issuer;

(viii) other than for the purposes of and followed by a reconstruction previously approved in writing by the Sukuk Trustee, unless during or following such reconstruction the Issuer becomes or is declared to be insolvent:

(a) the Issuer convenes a meeting of its creditors or proposes or makes any arrangement (including any scheme of arrangement under Section 366 of the Companies Act 2016, as amended and/or substituted from time to time ("**Companies Act**")) or composition or begins negotiations with its creditors, or takes any proceedings or other steps, with a view to a rescheduling or deferral of all or a material part of its indebtedness;

(b) a moratorium is agreed or declared by a court of competent jurisdiction in respect of or affecting all or a material part of its indebtedness; or

(c) the Issuer makes any assignment for the benefit of its creditors in respect of or affecting all or a material part of its indebtedness;

(ix) where there is a revocation, withholding or modification of any license, authorisation, approval or consent necessary for the Issuer to carry on its business which in the reasonable opinion of the Sukuk Trustee would have a Material Adverse Effect;

(x) the Issuer becomes unable to pay any of its debts generally as they fall due or suspends making payments with respect to all or any class of its debts;

(xi) any creditor of the Issuer exercises a contractual right to take over the financial management of the Issuer and such event in the reasonable opinion of the Sukuk Trustee would have a Material Adverse Effect on the Issuer;

(xii) the Issuer repudiates any of the Transaction Documents;

(xiii) all or a substantial part of the assets, undertakings, rights or revenue of the Issuer are seized, nationalised, expropriated or compulsorily acquired by or under the authority of any governmental body which in the opinion of the Sukuk Trustee would have a Material Adverse Effect;

(xiv) the Government of Malaysia disposes of or redeems the ownership of the

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Special Share (as defined in and with the rights as prescribed in TNB's constitution) or the rights and benefit attaching to the Special Share are adversely changed and the result of which has a Material Adverse Effect save and except for the disposal of the Special Share to any related corporation of the Ministry of Finance;

(xv) any event or events has or have occurred or a situation exists which in the reasonable opinion of the Sukuk Trustee would have a Material Adverse Effect and in the case of the occurrence of such event or situation which in the reasonable opinion of the Sukuk Trustee is capable of being remedied, the Issuer does not remedy it within sixty (60) days after the Issuer has become aware or having been notified in writing by the Sukuk Trustee of the event or situation; and

(xvi) the Issuer changes in a material manner the nature or scope of its business and such change results in a Material Adverse Effect.

Upon the occurrence of a Dissolution Event which is continuing, the Sukuk Trustee may, and if so directed by an extraordinary resolution of the Sukukholders, shall (subject to its rights and to be indemnified by the Sukukholders to its satisfaction against all reasonable costs and expenses thereby occasioned) declare (by giving written notice to the Issuer) that a Dissolution Event has occurred and the Sukuk Trustee is entitled to accelerate all sums payable under the Sukuk Wakalah which are accrued and unpaid until the date of such declaration and to enforce its rights under the Transaction Documents.

The Sukuk Trustee shall enforce its rights under the Transaction Documents, including but not limited to, requiring the Obligor to purchase the Sukukholders' undivided and proportionate beneficial interest in the Shariah-compliant Business at the Exercise Price and to enter into a Sale Agreement for such purchase, and requiring the Purchaser to pay the outstanding Deferred Sale Price (subject to Ibra', if any). The Sukuk Trustee will use the proceeds thereof to redeem the Sukuk Wakalah at the relevant Dissolution Distribution Amount. Upon full payment of all amounts due and payable under the relevant Sukuk Wakalah, the relevant trust in respect of the Trust Assets will be dissolved and the relevant Sukuk Wakalah held by the Sukukholders will be cancelled.

(29) Governing laws : Laws of Malaysia.

(30) Provisions on buy-back, if applicable : The Issuer or its subsidiary(ies) or related corporation(s) or agent(s) of the Issuer who is/are acting for the redemption or purchase, may at any time purchase the Sukuk Wakalah at any price in the open market or by private treaty. The Sukuk Wakalah which are purchased/redeemed by the Issuer or its subsidiary(ies) or agent(s) of the Issuer who is acting for the redemption or purchase shall be cancelled by the Issuer and cannot be resold.

Any of the Sukuk Wakalah acquired in the open market or by private treaty by the Issuer's related corporation(s) (other than the Issuer's subsidiaries) or Interested Persons (as defined under the section entitled "*Other Terms and Conditions – Definitions*") need not be cancelled but in the case of Interested Persons, shall not

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entitle them to participate in the voting of any Sukukholders' resolution in relation to any proposed revision of terms and conditions of the Sukuk Wakalah Programme.

(31) Provisions on early redemption, if applicable : Subject to the consent of the Sukukholders by an extraordinary resolution in accordance with the terms of the Trust Deed, the Issuer may redeem the Sukuk Wakalah prior to their respective Scheduled Dissolution Date(s) by giving the requisite notice at a redemption price to be mutually agreed between the Issuer and the Sukukholders in the said extraordinary resolution.

(32) Voting : For the avoidance of doubt, voting by the Sukukholders under the Sukuk Wakalah Programme shall be carried out as follows:

Prior to upsizing of the Sukuk Wakalah Programme

All matters/resolutions (save in relation to the upsizing of the Sukuk Wakalah Programme) which require the Sukukholders' consent/approval under the Sukuk Wakalah Programme shall be carried out on a collective basis.

Post upsizing of the Sukuk Wakalah Programme

All matters/resolutions which require the Sukukholders' consent/approval under the Sukuk Wakalah Programme shall be carried out on a "per Series" basis. Sukukholders holding a requisite amount under each Series (as defined below) shall provide their consent for any such resolution to be carried for such Series. The resolution shall only be carried for:

(i) the Sukuk Wakalah Programme if the consent/approval of the Sukukholders is obtained for each and every Series under the Sukuk Wakalah Programme; or

(ii) a particular Series only if such resolution (a) does not in any way affect any other Series under the Sukuk Wakalah Programme and (b) will not trigger a Dissolution Event under any other Series under the Sukuk Wakalah Programme.

"**Series**" shall mean, in relation to any Sukuk Wakalah, such Sukuk Wakalah with the same issue date.

(33) Permitted investments, if applicable : No permitted investments

(34) Ta'widh (for ringgit-denominated sukuk) : In the event the Wakeel breaches its fiduciary duty as an investment manager due to its failure to distribute any realised Periodic Distribution or realised one-off distribution amount (arising from any returns generated from the Wakalah Investments), and/or the Obligor delays in the payment of any amounts due and payable to the Sukukholders pursuant to the exercise of the Purchase Undertaking and/or the Sale Undertaking and/or the Purchaser delays payment of the outstanding Deferred Sale Price, the Wakeel and/or the Obligor/Purchaser shall pay to the Sukuk Trustee (acting on behalf of the Sukukholders) *Ta'widh*

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(compensation) on such delay in payments at the rate and in the manner prescribed by the SC's Shariah Advisory Council from time to time.

(35) *Ibra'* (for ringgit-denominated sukuk) : *Ibra'* means an act of releasing absolutely or conditionally the Sukukholders' rights and claims on any obligation against another party which would result in the latter being discharged of his/its obligation or liabilities towards the former. The release may be either partially or in full. With respect to the Murabahah contract, *Ibra'* refers to the release of rights on debts/amounts due and payable under said contract.

Ibra', where applicable, shall be granted by the Sukukholders. The Sukukholders in subscribing or purchasing the Sukuk Wakalah, hereby consent to grant *Ibra'* on the Deferred Sale Price upon:

(a) the Dissolution Declaration Date;

(b) the early redemption date (if applicable);

(c) in respect of Sustainability-Linked Sukuk Wakalah which are subject to Periodic Distribution Rate Adjustment, on the relevant Periodic Distribution Date(s) and the Dissolution Declaration Date (if applicable); and

(d) in respect of Sustainability-Linked Sukuk Wakalah which are subject to Nominal Value Adjustment, on the relevant Scheduled Dissolution Date(s) and the Dissolution Declaration Date (if applicable).

The *Ibra'* for redemption upon the Dissolution Declaration Date shall be calculated as follows:

(i) in the case of Sukuk Wakalah with Periodic Distribution and issued at a discount:

the unearned Expected Periodic Distribution Amount and the Unearned Discounted Amount (as defined below).

(ii) in the case of Sukuk Wakalah without Periodic Distribution and issued at a discount:

the Unearned Discounted Amount.

(iii) in the case of Sukuk Wakalah with Periodic Distribution and issued at par:

the unearned Expected Periodic Distribution Amount.

(iv) in the case of Sukuk Wakalah with Periodic Distribution and issued at a premium:

the unearned Expected Periodic Distribution Amount.

The *Ibra'* in relation to (i), (ii), (iii) and (iv) above shall be calculated from the Dissolution Declaration Date up to the Scheduled Dissolution Date of the Sukuk Wakalah.

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The *Ibra'* upon the early redemption date (if applicable) shall be the difference between the outstanding Deferred Sale Price of the relevant Sukuk Wakalah being redeemed and the early redemption amount mutually agreed between the Issuer and the Sukukholders in an extraordinary resolution.

In relation to Sustainability-Linked Sukuk Wakalah, the calculation of *Ibra'* shall be detailed out in the relevant Sustainable Sukuk Wakalah Issuance Documents and shall be mutually agreed between the Issuer and the relevant Joint Lead Managers prior to issuance of each Sustainability-Linked Sukuk Wakalah.

For the avoidance of doubt, *Ibra'* will be applicable to the Commodity Murabahah Investment portion of the Wakalah Investments i.e. the Deferred Sale Price, and shall only be deemed granted upon receipt of the redemption amount of the Sukuk Wakalah. Any double counting shall be disregarded.

"Unearned Discounted Amount" means in the case of Sukuk Wakalah issued at a discount, the difference between the nominal value and the accreted value of the relevant Sukuk Wakalah being redeemed.

(36) Kafalah (for ringgit-denominated sukuk) : Not applicable.

(37) Waivers from complying with Guidelines on Unlisted Capital Market Products under the Lodge and Launch Framework and other relevant guidelines of the SC obtained for the facility/programme, if any : None.